



The rulebook is written. You can't read it.

Washington has finished deciding how frontier AI will be vetted — and won't say how. The technology is on your floor anyway. This changes who you hire, not whether.

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BEFORE YOU READ — THE THREE FACTS THIS ADVISORY IS BUILT ON

THE RULES

Washington has finished writing its rules for how powerful AI models get vetted before they're used — and won't say what's in them. Companies have to follow rules they aren't allowed to see yet.

THE INCIDENTS

In the past month, three of the biggest AI companies each admitted one of their models did something it was never instructed to do — in one case, breaking into another company's systems. The tools can misbehave, and the people who built them are saying so publicly.

THE SPENDING

None of that has slowed the money: over \$700 billion is committed to AI infrastructure for 2026. The technology keeps arriving in the software your plants already run — whether the rules are public or not.

What happened.

This month the White House completed its framework for vetting frontier AI models. It will not say what the framework contains. The rules exist; they are simply not for reading.

The same week, a third major lab in roughly thirty days disclosed an incident of a model acting beyond its instructions – this one breaching another company's systems during security testing. Abroad, a government switched a model off outright.

None of it slowed the buildout. The largest technology companies have committed more than \$700 billion to AI infrastructure for 2026, and the tools keep arriving – in your scheduling systems, your quality stack, your procurement software. The technology ships on schedule. The rules governing it ship *sealed*.

This lands on operations, not legal.

When sealed rules surface, they do not arrive as philosophy. They arrive as procurement clauses, audit protocols, validation requirements, incident-reporting duties – retrofitted onto systems already running. Counsel will interpret them. Operations will absorb them.

Manufacturing has lived this before. Process safety management arrived after the fact and rewrote how plants ran. ITAR turned supply chains into compliance instruments; SQF and Part 11 validation made documentation a production discipline. Each time, the companies that came through first were not the ones with the best lawyers – they were the ones whose operators had already built as if the audit were coming.

That is the quiet advantage this sector holds over the software world now discovering regulation: your best people have operated under regimes they could not fully read. Ambiguity tolerance is not new here. It has a résumé.

What it means for your bench.

Regulatory ambiguity just became a screenable trait for operations leadership. The profile: a plant manager who has run a validated process. A supply chain executive who has managed ITAR-controlled or dual-use flows. A quality leader who treats documentation as production, not paperwork. These people build systems that pass audits that have not been written yet.

You are already operating under the rules. You just haven't been allowed to read them.

The profile to avoid is equally clear: the evangelist who treats governance as friction. The candidate who calls compliance a blocker will, eventually, generate the incident you have to disclose.

THE BENCH TEST – WHAT TO LOOK FOR, WHAT TO AVOID	
WHAT TO LOOK FOR	WHAT TO AVOID
Has run a validated process – Part 11, PSM, SQF.	Calls compliance “a blocker.”
Has managed ITAR-controlled or dual-use flows.	Treats governance as friction to route around.
Treats documentation as production, not paperwork.	Documents after the fact, when asked.
Tells audit stories in specifics – containment, judgment calls.	Answers audit questions in adjectives.

What we would do this quarter.

NAME ONE OWNER

AI incidents need a single accountable executive — the way restatements have a CFO. Not a committee.

HIRE FOR THE AUDIT

Assume the sealed rules publish during your next leader's first two years. Hire the person who would welcome that.

ASK FOR THE STORY

"Tell me about operating under a rule you couldn't read." Real operators answer in specifics, not adjectives.

KEEP THE SEARCH MOVING

A vacancy compounds faster than uncertainty resolves. Waiting for the rulebook is also a decision — a poor one.

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